

The Dominion of Canada General Insurance Company v. Chambers
[Indexed as: Dominion of Canada General Insurance Co. v. Chambers]

Ontario Reports

Ontario Superior Court of Justice,

Rady J.

October 24, 2013

117 O.R. (3d) 342 | 2013 ONSC 6122

Case Summary

Insurance — Automobile insurance — Statutory accident benefits — Catastrophic impairment — Section 45 of Statutory Accident Benefits Schedule requiring insured to specify one accident in respect of which determination of catastrophic impairment is requested — Insured not precluded from claiming that he or she is catastrophically impaired as result of cumulative effect of multiple accidents and that specified accident was tipping point — Statutory Accident Benefits Schedule — Effective September 1, 2010, O. Reg. 34/10, s. 45. [page343]

The respondent was injured in three motor vehicle accidents between 2003 and 2005, and submitted a claim for accident benefits after each accident. In 2012, she submitted an OCF-19 ? Application for Determination of Catastrophic Impairment, listing the dates of all three accidents under "Date of Accident". The applicant insurer returned the OCF-19 form and requested a separate OCF-19 for each accident. The respondent declined. The applicant brought an application to determine whether s. 45 of the *Statutory Accident Benefits Schedule* ("SABS") precludes an insured person from submitting an application for a determination of catastrophic impairment which lists more than one car accident and purports to claim that the insured is catastrophically impaired as a result of the cumulative effects of the multiple car accidents.

Held, the application should be granted in part.

The legislation is intended to define catastrophic impairment by reference to a single accident. Section 45 of the SABS requires an insured to specify one accident in respect of which a determination of catastrophic impairment is requested. However, the insured is not precluded from claiming that he or she is catastrophically impaired as a result of the cumulative effect of multiple car accidents, where the specified accident was the tipping point that propelled him or her toward a catastrophic designation.

Cases referred to

Baillargeon v. Murray (2001), 52 O.R. (3d) 278, [2001] O.J. No. 148, [2001] O.T.C. 10, 25 C.C.L.I. (3d) 44, 10 M.V.R. (4th) 92, 2001 CanLII 28251, 102 A.C.W.S. (3d) 833 (S.C.J.); *Bank of Montreal v. Gratton*, [1987] B.C.J. No. 1887, 45 D.L.R. (4th) 290, [1988] 1 W.W.R. 372, 18

B.C.L.R. (2d) 138, 6 A.C.W.S. (3d) 364 (C.A.); *Galdamez v. Allstate Insurance Co. of Canada* (2012), 111 O.R. (3d) 321, [2012] O.J. No. 3394, 2012 ONCA 508, 294 O.A.C. 133, [2012] I.L.R. I-5313, 36 M.V.R. (6th) 117; *Gorman v. Falardeau*, [2005] O.J. No. 2213, 254 D.L.R. (4th) 347, 197 O.A.C. 316, 23 C.C.L.I. (4th) 167, 15 C.P.C. (6th) 158, 18 M.V.R. (5th) 194, 2005 CanLII 18837, 139 A.C.W.S. (3d) 851 (C.A.); *Jack v. Manitoba (Registrar of Motor Vehicles)*, [1972] M.J. No. 110, 27 D.L.R. (3d) 370, [1972] 4 W.W.R. 602 (Q.B.); *Kirkham v. State Farm Mutual Automobile Insurance Co.*, [1998] O.J. No. 6459, 1998 CarswellOnt 2811 (Div. Ct.); *Monks v. ING Insurance Co. of Canada* (2008), 90 O.R. (3d) 689, [2008] O.J. No. 1371, 2008 ONCA 269, [2008] I.L.R. I-4694, 235 O.A.C. 1, 61 C.C.L.I. (4th) 1, 66 M.V.R. (5th) 38, 165 A.C.W.S. (3d) 918

Statutes referred to

Chattel Mortgage Act, R.S.B.C. 1979, c. 48, s. 23

Insurance Act, R.S.O. 1990, c. I.8 [as am.]

Legislation Act, 2006, S.O. 2006, c. 21, Sch. F, ss. 46, 47, 67

Rules and regulations referred to

Rules of Civil Procedure, R.R.O. 1990, Reg. 194, rule 14.05(3) (d)

Statutory Accident Benefits Schedule — Effective September 1, 2010, O. Reg. 34/10, ss. 3 [as am.], (1), (2), (d)(i), (ii), (3), (5)(c), 14, 15 [as am.], 16 [as am.], 19(3)2, 45 [as am.], (1) [as am.], 66

Authorities referred to

Sullivan, Ruth, *Sullivan and Driedger on the Construction of Statutes*, 4th ed. (Markham, Ont.: Butterworths, 2002) [page344]

APPLICATION for a determination of a question of law.

Lawrence Foy and Anna-Marie Musson, for applicant.

Karl Arvai and William Brennan, for respondent.

Endorsement of **RADY J.**: —

Introduction

[1] This application was commenced by Dominion for a determination of whether Ms. Chambers is permitted to apply once for a finding of catastrophic impairment relying upon three separate car accidents, which she says cumulatively have caused a catastrophic impairment, or must she proceed by way of separate applications for each accident.

[2] Dominion asks for "an order that s. 45 of the SABS [*Statutory Accident Benefits Schedule - Effective September 1, 2010*, O. Reg. 34/10 ("SABS")] precludes an insured person from submitting an application for a determination of catastrophic impairment, which lists more than one car accident and purports to claim that the insured is catastrophically impaired, as a result of the cumulative effects of the multiple car accidents."

[3] Section 45(1) of SABS provides that an insured who sustains an impairment as a result of an accident may apply for catastrophic designation.

[4] Dominion relies on rule 14.05(3)(d) of the Rules of Civil Procedure, R.R.O. 1990, Reg. 194, which authorizes the commencement of an application where the relief claimed is the determination of rights that depend on the interpretation of a statute or regulation.

Facts

[5] Ms. Chambers was involved in a car accident on May 18, 2003. She is alleged to have sustained soft tissue injuries to her neck, shoulder and left hand, headaches, tinnitus, impaired hearing and temporomandibular joint pain as a result. She submitted a claim to Dominion for accident benefits following the accident.

[6] She was involved in a second accident on June 20, 2003. She is alleged to have suffered soft tissue injuries to her back and an exacerbation of neck pain and headaches as a result. Another claim for accident benefits to Dominion followed.

[7] Ms. Chambers was in a third accident on February 3, 2005. She says that she suffered soft tissue injuries to her back and an exacerbation of her prior injuries. It is alleged that she suffers [page 345] from depression and a mood disorder as a result of the accident. She submitted another claim for accident benefits.

[8] On April 18, 2012, she submitted an OCF-19 -- Application for Determination of Catastrophic Impairment completed by Dr. George Gale. On the OCF-19 form, Dr. Gale lists the "Date of Accident" as May 18, 2003, June 20, 2003 and February 3, 2005. Dr. Gale concluded that Ms. Chambers met the definition of catastrophically impaired based on Criteria 7 -- a whole person impairment rating of 55 per cent or more; and Criteria 8 -- a class IV or V impairment due to mental or behavioural disorder as a result of the cumulative effects of the three car accidents.

[9] On May 1, 2012, Dominion returned the OCF-19 form as completed by Dr. Gale and requested a separate OCF-19 for each accident. Ms. Chambers declined to do so and took the position that she need submit only one OCF-19 for the cumulative effect of all three car accidents.

[10] This application followed. The issue is significant to the parties because the determination of catastrophic impairment increases the available policy limits on medical and rehabilitation benefits from \$100,000 to \$1 million; attendant care benefits from \$72,000 to \$1 million; and housekeeping benefits are payable for an insured's lifetime.

[11] As will be seen, the plaintiff's interpretation of the legislation introduces the possibility of benefits being increased to multiples of \$1 million depending on the number of underlying accidents said to feed into a cumulative catastrophic impairment.

The Position of the Parties

[12] Dominion stresses that it accepts the proposition that several motor vehicle accidents can contribute to a plaintiff's present condition. Put another way, it accepts that the cumulative effects of several car accidents can lead to a catastrophic impairment. However, it submits that if the plaintiff's contention is correct, she would have access to three times the available benefits (*i.e.*, three times \$1 million for medical rehabilitation benefits, etc.), resulting in exposure to potential claims in excess of \$6 million. Dominion submits that the language of the statute is singular -- referring to *an* accident rather than multiples.

[13] It points out that a practical problem arises for an insurer if the plaintiff's "retrospective" application is used because an insurer could not properly reserve a file or calculate an appropriate premium because it will not know if an insured is going to "reach back in time" to access insurance benefits. In other words, it could not have been the legislature's intention to have [page346] policy limits increase for each of the accidents. Premiums are charged in a policy period with the expectation that certain benefits to a fixed limit would be available for injuries arising from an accident during the policy period.

[14] The plaintiff submits that a proper interpretation of the legislation and the *SABS* does not support Dominion's position. The plaintiff points out that this case is no different than when a person who sustains injuries in a single motor vehicle accident, say in 2005, and does not apply for a catastrophic designation until seven or eight years later.

The Legislation

[15] Section 3(1) of *SABS* provides as follows:

"accident" means an incident in which the use or operation of an automobile directly causes an impairment or directly causes damage to any prescription eyewear, denture, hearing aid, prosthesis or other medical or dental device.

.

"insured person" means . . . a person who is involved in an accident involving the insured automobile[.]

[16] Section 3(2) of *SABS* states:

3(2) For the purposes of this Regulation, a catastrophic impairment caused by an accident is,

(a) paraplegia or quadriplegia;

(b) the amputation of an arm or leg or another impairment causing the total and permanent loss of use of an arm or a leg;

(c) the total loss of vision in both eyes;

- (d) subject to subsection (4), brain impairment that results in,
- (i) a score of 9 or less on the Glasgow Coma Scale, as published in Jennett, B. and Teasdale, G., *Management of Head Injuries*, Contemporary Neurology Series, Volume 20, F.A. Davis Company, Philadelphia, 1981, according to a test administered within a reasonable period of time after the accident by a person trained for that purpose, or
 - (ii) a score of 2 (vegetative) or 3 (severe disability) on the Glasgow Outcome Scale, as published in Jennett, B. and Bond, M., *Assessment of Outcome After Severe Brain Damage*, Lancet i:480, 1975, according to a test administered more than six months after the accident by a person trained for that purpose;
- (e) subject to subsections (4), (5) and (6), an impairment or combination of impairments that, in accordance with the American Medical Association's *Guides to the Evaluation of Permanent Impairment*, 4th edition, 1993, results in 55 per cent or more impairment of the whole person; or [page347]
- (f) subject to subsections (4), (5) and (6), an impairment that, in accordance with the American Medical Association's *Guides to the Evaluation of Permanent Impairment*, 4th edition, 1993, results in a class 4 impairment (marked impairment) or class 5 impairment (extreme impairment) due to mental or behaviour disorder.
- (3) Subsection (4) applies if an insured person is under the age of 16 years at the time of the accident and none of the Glasgow Coma Scale, the Glasgow Outcome Scale or the American Medical Association's *Guides to the Evaluation of Permanent Impairment*, 4th edition, 1993 referred to in clause (2) (d), (e) or (f) can be applied by reason of the age of the insured person.
- (4) For the purposes of clauses (2) (d), (e) and (f), an impairment sustained in an accident by an insured person described in subsection (3) that can reasonably be believed to be a catastrophic impairment shall be deemed to be the impairment that is most analogous to the impairment referred to in clause (2) (d), (e) or (f), after taking into consideration the developmental implications of the impairment.
- (5) Clauses (2) (e) and (f) do not apply in respect of an insured person who sustains an impairment as a result of an accident unless,
- (a) in the case of an impairment that includes a brain impairment, a physician states in writing that the insured person's condition is unlikely to cease to be a catastrophic impairment;
 - (b) in the case of an impairment that is only a brain impairment, a neuropsychologist states in writing that the insured person's condition is unlikely to cease to be a catastrophic impairment; or
- (c) two years have elapsed since the accident.
- (6) For the purpose of clauses (2) (e) and (f), an impairment that is sustained by an insured person but it not listed in the American Medical Association's *Guides to the Evaluation of Permanent Impairment*, 4th edition, 1993 is deemed to be the impairment that is listed in that document and that is most analogous to the impairment sustained by the insured person.

[17] At the risk of repetition, s. 45(1) of SABS provides:

45(1) An insured person who sustains an impairment as a result of an accident may apply to the insurer for a determination of whether the impairment is a catastrophic impairment.

[18] The OCF-19 form is mandated by s. 66 of SABS. In the upper right-hand corner of the application, the physician is required to fill in the date of the accident (yyyymmdd). In this case, Dr. Gale has listed "2003.05.18/2003.06.20/ 2005.02.03", the dates of the three accidents.

The Submissions

[19] Dominion stresses that the language used in SABS is singular, referring to "an" accident. It relies on well-established principles of statutory interpretation as well as the definitions of [page348] "an" or "any" found in *Black's Law Dictionary*, 5th ed. (St. Paul, MN: West Publishing Co., 1979).

[20] The definitions are as follows:

An The English indefinite article, equivalent to "one" or "any", seldom used to denote plurality.

Any Some; one out of many; an indefinite number. One indiscriminately of whatever kind or quality.

[21] Dominion cites *Kirkham v. State Farm Mutual Automobile Insurance Co.*, [1998] O.J. No. 6459, 1998 CarswellOnt 2811 (Div. Ct.), which observed that [at para. 2] "[t]he first principle of statutory interpretation is 'if the words of the statute are in themselves precise and unambiguous, then no more can be necessary than to expound those words in their natural and ordinary sense'."

[22] As noted in *Sullivan and Driedger on the Construction of Statutes*, 4th ed. (Markham, Ont.: Butterworths, 2002), the starting point of statutory interpretation is the ordinary meaning rule. It sets out these principles:

- (1) It is presumed that the ordinary meaning of a legislative text is the meaning intended by the legislature. In the absence of a reason to reject it, the ordinary meaning prevails.
- (2) Even if the ordinary meaning is plain, courts must consider the purpose and scheme of the legislation, and relevant legal norms. They must consider the entire context.
- (3) In light of these considerations, the court may adopt an interpretation that modifies or departs from the ordinary meaning, provided the interpretation adopted is plausible and the reasons for adopting it are sufficient to justify the departure from ordinary meaning.

[23] The applicant relies on *Bank of Montreal v. Grattton*, [1987] B.C.J. No. 1887, 45 D.L.R. (4th) 290 (C.A.), in which the court interpreted s. 23 of the *Chattel Mortgage Act*, R.S.B.C. 1979, c. 48 and the use of the words "mortgage" and "grantor". The court was asked to determine whether words "mortgage" and "grantor" included the plural. The court concluded that "[t]he use

of the singular throughout the statute can be taken as an indication of legislative intent that the scheme apply to the creation of a single chattel mortgage and the rights and obligations conferred by a single chattel mortgage".

[24] It refers to *Jack v. Manitoba (Registrar of Motor Vehicles)*, [1972] M.J. No. 110, 27 D.L.R. (3d) 370 (Q.B.) for this proposition [at para. 20]: [page 349]

Whenever the language of the legislature admits of two constructions and if construed in one way, would lead to obvious injustice, the courts act upon the view that such a result could not have been intended, unless the intention to bring about has been manifested in plain words. "If the court is to avoid a statutory result that flouts common sense and justice it must do so not by disregarding the statute or overriding it but by interpreting it in accordance with the judicially presumed parliamentary concern for common sense and justice."

[25] Dominion suggests that the same line of reasoning applies to this case and that the policy of SABS is directed toward providing an insured with benefits as a result of a single car accident. It makes the point that premiums for accident benefits coverage are charged on the risk of income loss, treatment and care arising from an accident during the policy period.

[26] In support of its position, it points out that

-- the references in SABS are in the singular;

- policy limits for SABS are in respect of one accident;
-
- the time period to determine entitlement to SABS is in respect of an accident and the test for entitlement involves a consideration of an insured's activities before the accident;
-
- therefore, the proper procedure is to submit a separate application for SABS and a separate claim for each accident.
-

[27] The plaintiff begins by pointing to ss. 46 and 67 of the *Legislation Act, 2006*, which provides:

46. Every provision of this Part applies to every Act and regulation.

.

67. Words in the singular include the plural and words in the plural include the singular.

[28] The plaintiff submits that modern statutory interpretation requires "the words of an Act to be read in their entire context and in their grammatical and ordinary sense harmoniously with the

scheme of the Act, the object of the Act, and the intention of Parliament". See *Galdamez v. Allstate Insurance Co. of Canada* (2012), 111 O.R. (3d) 321, [2012] O.J. No. 3394, 2012 ONCA 508.

[29] Further, "it is well established that insurance coverage provisions are to be interpreted broadly, while coverage exclusions or restrictions are to be construed narrowly, in favour of the insured": *Monks v. ING Insurance Co. of Canada* (2008), 90 O.R. (3d) 689, [2008] O.J. No. 1371, 2008 ONCA 269. [page350]

[30] The plaintiff points out that there are several examples where SABS uses language that contemplates an application for benefits involving more than one accident. For example, s. 19(3)2 provides as follows:

19(3)2. Unless increased by any optional benefits available to the insured person in accordance with paragraph 4 or 5 of subsection 28(1), the amount of the attendant care benefits paid in respect of the insurance person shall not exceed, for any one accident,

- i. \$1,000,000, if the insured person sustained a catastrophic impairment as a result of the accident, or
- ii. \$36,000 in any other case.

[31] It is submitted that this section clearly contemplates that an insured who is involved in multiple accidents may make a single application for attendant care benefits but his/her entitlement is limited on the basis of any one accident.

[32] The plaintiff suggests that support for her interpretation is found in ss. 14, 15 and 16 of SABS, which differentiate between benefits available as a result of an accident as opposed to those available as a result of the accident.

[33] As an example, s. 14 provides:

14. Except as otherwise provided in this Regulation, an insurer is liable to pay the following benefits to or on behalf of an insured person who sustains an impairment as a result of an accident:

1. Medical and rehabilitation benefits under sections 15 to 17.
2. If the impairment is not a minor injury, attendant care benefits under section 19.

[34] In contrast, the sections which follow refer to the insurer's obligation to pay benefits as a result of *the* accident.

[35] The plaintiff relies on the interpretation of the "threshold" provisions in the *Insurance Act*, R.S.O. 1990, c. I.8 and, in particular, how they apply to multiple accidents. The decisions in *Baillargeon v. Murray* (2001), 52 O.R. (3d) 278, [2001] O.J. No. 148, 2001 CanLII 28251 (S.C.J.) and *Gorman v. Falardeau*, [2005] O.J. No. 2213, 2005 CanLII 18837 (C.A.) are said to support the meaning urged by the plaintiff.

[36] Finally, the plaintiff submits that the applicant's position does not promote the most just, quickest and least expensive resolution of the dispute and that had the legislature intended to

limit an individual's ability to apply for a catastrophic designation on the basis of a single accident, it would have used clear language to do so. [page351]

Analysis

[37] For the reasons articulated below, I favour the interpretation urged by Dominion. In my view, s. 45 of *SABS* must be interpreted as referring to a single accident.

[38] Dealing first with the plaintiff's reliance on ss. 46 and 67 of the *Legislation Act, 2006*, I note that s. 47 provides as follows:

47. Section 46 applies unless,

(a) contrary intention appears; or

(b) its application would give to a term or provision a meaning that is inconsistent with the context.

[39] For the reasons that follow, I am satisfied that to interpret s. 45 as Mr. Arvai advocates would give it a meaning that is inconsistent with the context of the legislation.

[40] The wording of s. 3 of *SABS* is important. Taken as a whole, this section makes it clear that reference is being made to a single accident. It bears noting that there are repeated references in s. 3 to "the" accident. For example, s. 3(2)(d)(i) refers to a test administered within a reasonable time after *the* accident. Subsection (ii) refers to a test administered more than six months after *the* accident.

[41] Sections 3(3) and 3(5)(c) also refer to the accident. Section 3(3) refers to the age of the insured at the time of the accident. Section 3(5)(c) speaks to a time two years after the accident.

[42] These references to the accident must surely refer to a single precipitating accident. To my mind, the wording of the entire provision supports the common sense interpretation that the references to an accident and the accident mean a single accident. Put another way, the legislation is intended to define catastrophic impairment by reference to a single accident.

[43] Support for this conclusion is also found in the form of OCF-19, which, as I have already observed, is mandated by regulation. There are references in that form beyond the date of the accident that clearly refer to a single accident. For example, the "Note to Applicant" provides that "This form must be completed in full and submitted to your auto accident insurer if you wish to establish that you have suffered from a catastrophic impairment as a result of your motor vehicle *accident*". Similarly, the provisions immediately after the "Applicant Status" box make reference to the collection and disclosure of information "relating to my health condition or injuries arising as a result of *the* automobile accident" (emphasis mine). [page352]

[44] The repeated reference to an accident or the accident persuade me that the ordinary meaning of those words as singular must prevail.

[45] In this case, neither the first nor second accidents alone were sufficient to render the plaintiff catastrophically injured. It was the third accident that might have done so. In other words, it is the third accident that may have transformed or elevated the plaintiff's non-catastrophic situation into a catastrophic one. It was the catalyst or tipping point.

[46] I agree with Dominion that the legislature could not have intended for the plaintiff to have access to increased policy limits for two accidents that would not by themselves have been sufficient to ground a catastrophic designation. In my view, the SABS instead contemplate that an application for the determination of catastrophic impairment will focus on a single identified accident, and an inquiry whether that particular accident transformed a claimant's situation into one of catastrophic impairment. The cumulative effect of the claimant's injuries may well be relevant to the determination of that inquiry, to the extent that the identified accident may have served as a "tipping point" to render the claimant catastrophically impaired. But looking at the added impact of that accident being superimposed on pre-existing injuries, possibly sustained in earlier accidents, should not effectively render each accident liable to a retroactive catastrophic impairment determination.

[47] I also agree with Dominion that the effect of the interpretation urged by the plaintiff would make it practically difficult, if not impossible, for an insurer to accurately reserve a claim because of the potential to reach back in time to access benefits. This is different than the example used by Mr. Arvai, where a designation is not sought until long after a single accident. Presumably, an insurer would always consider the potential for such an application in future.

[48] Consider, as well, if there were three different insurers who provided SABS to a plaintiff for three different accidents. It seems untenable that an insurer for a relatively minor accident that adjusted and closed the file appropriately and promptly could find itself liable for benefits at some time in the future because injuries in a subsequent accident or accidents, taken cumulatively, cause the plaintiff to become catastrophically impaired.

[49] As a result, I would find in Dominion's favour. However, I feel uncomfortable with the wording of the order it seeks.

[50] As indicated earlier, the formal relief requested by Dominion is a determination that s. 45 of SABS precludes an insured person from submitting an application for a determination of [page353] catastrophic impairment, which lists more than one car accident, and purports to claim that the insured is catastrophically impaired, as a result of the cumulative effects of the multiple car accidents.

[51] While I agree that the application should not list more than one car accident in respect of which a designation is requested, I am concerned that the declaration might be interpreted as going beyond that proposition. In particular, I am concerned that the proposed wording might be interpreted as meaning that an application referring to one identified accident may not claim that the insured is catastrophically impaired as a result of the cumulative effect of multiple car accidents, where the last was the "tipping point" that has propelled the plaintiff toward a catastrophic designation.

[52] Such an interpretation would be inconsistent with my view of the matter and would contradict Dominion's position acknowledged during oral argument.

[53] In the result, I simply declare and order as follows: Section 45 of SABS requires an insured person to specify one accident in respect of which a determination of catastrophic impairment is requested. In my view, this is sufficient to address the insurer's valid concerns without restricting the parties' ability to make appropriate reference to an injured person's

condition, as a result of previous accidents or otherwise upon which the identified accident was superimposed.

[54] If the parties cannot agree, I will receive written submissions on costs, first from the applicant by November 15, 2013, and the respondent by November 22, 2013.

Application granted in part.

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